



Sigma Advanced Systems (SIGMAADV)

Horizon: Swing (1-4 wk) · Bias tested: Neutral · As of 3 Jun 2026

AVOID

CMP ₹416	52W H / L ₹446 / ₹81.6	MKT CAP ₹7,333 Cr	P/E (TTM) VS SECTOR 26.4 · flattered*	ROE / ROCE 90.6%* / 60.8%
PROMOTER (Δ, PLEDGE) 71.22% ↑ · pledge N/A	FII / DII Δ 0.07% / ~0%	BETA N/A	ADV N/A · ASM	NET DEBT ₹332 Cr gross



PRIMARY CATALYST — THE REASON IT MOVES NOW

Board meets 4 Jun 2026 (tomorrow) to fix the size, price and subscriber of a preferential equity issue — a binary dilution-vs-validation print, with the insider trading window already shut until 48h after.

CATEGORY	QUANTIFIED IMPACT	PROBABILITY	WINDOW
Capital Action (preferential issue + EOGM)	Two-sided: marquee strategic subscriber at/above CMP = validation + growth capital; discounted promoter/warrant tranche = ~5-20% dilution	H meeting fixed, window shut → board action near-certain	4 Jun 2026 · terms same day

Priced in? The transformation, the 7-yr Rolls-Royce LTA and the ~₹4,300 Cr visible order book are **fully** reflected in the 5× re-rating (15.7× book). The preferential issue's **size, price and who subscribes are NOT yet known or priced** — that is the swing variable. · Source: BSE/NSE intimation, 27 May 2026

BULL

₹460-490 (+10-18%)

Marquee aerospace/strategic investor subscribes at/above CMP — validation, growth capital, minimal cheap dilution.

BASE

₹400-420 (±flat)

Equity/warrants to known or promoter-linked group near market; modest dilution absorbed, narrative intact.

BEAR

₹350-370 (-12 to -16%)

Discounted preferential / large warrant tranche reads as cheap promoter dilution; ASM unwind, momentum exits.

A dormant IT shell (ex-Megasoft) re-rated ~5× into an aerospace & defence platform on a 7-yr Rolls-Royce LTA and the Nasmyth UK acquisition — but FY26 profit is almost entirely one-time other income, the stock trades at 15.7× book under ASM surveillance, and a binary preferential-issue print lands 4 Jun. No edge initiating either side into the event.

CATALYST LADDER — SECONDARY TRIGGERS, RANKED BY IMPACT × PROBABILITY

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Order Win	Rolls-Royce 7-yr long-term agreement	~£300M / ₹3,800 Cr; ~₹540 Cr/yr revenue visibility at full ramp	H	FY27-FY33 ramp	BSE / TipRanks · 27 Apr 2026
Restructuring	Nasmyth Group (UK) acquisition	~£1.8M; AS9100 certs + Rolls/Airbus/Boeing/GE/Safran/Lockheed access	H	Integration FY27	News · Apr 2026
Order Win	51% stake in AS Strategic Pvt Ltd	₹20 Cr buy; brings ~₹315 Cr order book, European defence	H	Closed Apr 2026	ScanX · Apr 2026
Order Win	Artillery fuze export order (North America)	USD 11.4M (~₹95 Cr)	M	FY27 delivery	EquityReads · 2026

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Financial inflection	Operating-margin scale-up as aerospace volumes ramp	OPM ~10% today; thesis needs proof core ops earn, not other income	M	FY27-FY28	Screener · 3 Jun 2026
Ownership / Regulatory	ASM surveillance + thin float (FII 0.07%)	Amplified two-way volatility; exit-liquidity risk	M	Ongoing	EquityReads · 2026
Technical	~5× run off ₹81.6 low; pressing 52W high ₹446	Extended; momentum vulnerable to any dilution surprise	L	Now	Price action · Jun 2026

WHAT THE STREET IS PRICING IN

No formal sell-side coverage — institutional ownership is negligible (FII 0.07%, DII ~0%); the tape is retail/narrative-driven, so consensus EPS / target / rating mix = **N/A**. **IN the price**: the full shell-to-aerospace transformation, the Rolls-Royce LTA and the ~₹4,300 Cr visible order book — reflected in a 5× re-rate and 15.7× book. **NOT in the price**: proof that **operating** margins inflect (FY26's ₹268 Cr PAT is almost entirely ~₹285 Cr one-time other income), the preferential-issue dilution terms, and Nasmyth integration economics.

KEY LEVELS & TRADE FRAME

Entry zone	Stand aside pre-4 Jun; tactical only ₹360-380 on post-event clarity
Stop (below May consolidation shelf)	₹335
Target 1 / Target 2	₹446 / ₹490
R:R · suggested size	~1:1.3 · ≤1% capital (ASM)

Levels approx — verify on chart; no live DMA feed. ASM + thin float = wide slippage.

RISKS TO WATCH

RISK	TRIGGER	DOWNSIDE	PROB
Earnings quality	Other income (~₹285 Cr) > net profit (₹268 Cr); core ops ~breakeven — FY27 shows no operating inflection	30-50%	H
Dilution	4 Jun preferential at discount to promoter/warrant group	10-20%	M
Valuation de-rating	15.7× book, narrative-priced — any execution slip	25-40%	M
Cash-flow quality	Debtor days ~270; working-capital stress	qualitative	M
ASM / float / governance	Surveillance curbs, thin exit liquidity, post-merger oversight	sharp gaps	M
Execution / integration	Nasmyth integration or Rolls-Royce ramp delays	20-30%	M
FX	GBP/INR on UK operations	qualitative	L

CATALYST CALENDAR

DATE	EVENT
4 Jun 2026	Board: preferential issue + issue price; EOGM call
~6 Jun 2026	Insider trading window reopens (48h post-meeting)
~Jul 2026	EOGM for preferential-issue approval (est.)
Aug 2026	Q1 FY27 results — first clean operating read post-merger
H1 FY27	Rolls-Royce LTA delivery ramp begins

AVOID

Rich narrative re-rating priced for flawless execution, with FY26 earnings flattered by ~₹285 Cr of non-operating income and a binary dilution event tomorrow under ASM surveillance — no edge initiating either side pre-print. **Flips the call**: a preferential issue to a marquee aerospace/strategic investor at or above market (validation, not cheap promoter dilution) **plus** a first clean quarter showing operating-margin inflection — that converts AVOID to TACTICAL LONG.

MPM · SCREEN — ANALYZE — INVEST

*P/E and 1-yr ROE are flattered by ~₹285 Cr one-time other income in FY26 (merger/acquisition-linked); on core operating earnings the multiple is materially higher. Figures from public vendors/filings; verify against the latest exchange disclosures before acting.

Sources: Screener.in (3 Jun 2026); BSE/NSE corporate filings (preferential-issue intimation 27 May 2026; Rolls-Royce LTA 27 Apr 2026); EquityReads deep-dive (2026); ScanX (AS Strategic, Apr 2026); TipRanks / Startuppedia (Rolls-Royce ₹3,800 Cr). Discarded stale vendor price reads ₹273.95 and ₹295.50 (older caches) in favour of Screener's ₹416, consistent with ₹7,333 Cr mcap ÷ ~17.6 Cr shares.

Generated 3 Jun 2026 · Not investment advice — verify against latest filings before acting.